Income Statement Analysis of Dmart

- The first observable change is the YOY increase in the sales. Dmart maintaining its EDLP vision is able to attract the large volume of sales, which is also somewhere coming from the Dmart outlook towards the stores expansion.
- Dmart has almost reached the 500+ stores in 2026.
- On the other hand, in recent years, especially talking about 2026 it has started experiencing high interest costs (due to their recent focus on loan and lease financing) and depreciation cost. This cost has pulled down the net profit, though in absolute terms it is increasing YOY.
- But an increase in the finance cost is able to bring down the effective tax rate.However in terms of amount tax has shown the rise.
- This cost with the increase in the operating cost such as COGS, Selling and General expenses has dragged down the net profit.
- It is noticeable that the company since listed has not distributed the dividend but has retained and reinvested all the earnings in the business. The core reason might be the company's current expansion focus.
- Which after the covid period has sown the massive boom, in 2021 the company has expanded with 50 new stores 22 in the previous year, indicating more than 50% increase,also observable through the increase in revenue in the following years.

Balance Sheet Analysis of Dmart

- A noticeable observation that the firm balance sheet is expanding year on year.
- As the company is expanding and so due to the change in the management and thus the ideology, the borrowing in the liability terms is increasing (more inclusion of debt and lease financing) which is consistent with the increase in the finance cost.
- Carefully noticing that the net fixed asset , capital work in progress is rising, the investment in recent year slowed down, indicating firm investmenting in its own core business rather than alternative source
- Inventory in the current asset is also increasing, forming almost 20% part of the balance, justifiable with the business core nature and the growth phase.
- In the equity end, reserves cover almost 81% of total liabilities, as the company has not issued any shares, the % is the share of profit and the other reserves by the company.

Other IMP Analysis,

- Avenue has an above average inventory turnover quite consistent near to 26 to 31 times in a year.
- Also as the payments by customers take place now and then only hence the debtors day is 0-1 only.
- Looking to the solvency ratios Dmart can be considered credible creditor with high interest coverage ratio, existing CFO easily available to finance its debt.
- This is also due to the fact that company rather than going for external debt finance its own operation.

- It also able to finance its asset and debt with the existing cash flow from the operation and has a consistent 10% on average self sustained growth rate.
- Dmart is able to generate effective cashflow through its operations and is approx. same as the net profit indicating profit is able to get convert to cash.
- It is noticeable that cashflow to investing activity is rising supporting the growth phase, which is able to get fully financed by its existing cashflow from operations.
- This credibility and stability is also reflected in its market beta of 0.78, considered as a stable investment company.
- It has an intrinsic growth of almost 24% over the past 5 years.